S H Kelkar & Company Ltd. | BUY | TP: INR 275

Steady Q1FY26, margin rebound & growth ahead

MONARCH NETWORTH CAPITAL

Company update

We upgrade to BUY from Accumulate with a revised TP of INR 275 (from INR 260), reflecting a valuation roll-over to June'27, while keeping our estimates unchanged. The Q1FY26 performance was largely as expected, with strong domestic growth offsetting softness in Europe. While margin pressure persist, we anticipate a gradual recovery starting in the second half of FY26, driven by selective pricing actions and improved operating leverage. We expect meaningful margin expansion after FY27 as new capacities, including the Holland Aromatics brownfield expansion and the new Vanvate greenfield facility, come online. Near-term growth will be supported by continued traction in domestic market, a projected demand recovery in Europe, and deeper engagement with global MNCs through the new CDCs. Recommend buying on dips.

- **Steady revenue faces margin compression in Q1:** SHK reported Q1FY26 revenue of INR 5,810mn (+23.5% YoY, +2.3% QoQ), broadly in line with expectations. *Adjusting for the fire-related disruption in Q1FY25, a more relevant comparison indicates revenue growth of ~14.8% over the H1FY25 average*. EBITDA declined 6.7% YoY, as incremental costs related to capacity expansion weighed on profitability. EBITDA margin stood at 12.6% (vs. 16.6% in Q1FY25 and 12.9% in Q4FY25). Segment-wise, Fragrances witnessed muted performance due to demand softness in Europe and capacity constraints, while Flavours delivered robust growth of 65.2% YoY and 20.8% QoQ.
- **Strategic initiatives and long-term outlook:** SHK is making significant investments to drive future growth, with a CAPEX of ~INR 2bn planned for capacity expansion, funded through a mix of debt and internal accruals. This includes a new greenfield facility and rebuilding the Vashivali plant in India, as well as a brownfield expansion at Holland Aromatics to address capacity constraints in Europe. Further, SH Kelkar is effectively driving domestic market growth by deepening engagement with small and mid-sized clients, resulting in a higher wallet share despite industry challenges. These initiatives are expected to deliver results over the next 3-5 years, with management anticipating margin improvement from the H2FY26 and more meaningfully from FY27 onwards.
- **Financial discipline to support long-term growth plans:** The company remains committed to bolstering its financial position, reducing net debt by INR 170mn to INR 6.4bn as of June 30, 2025. While debt may temporarily rise QoQ due to ongoing expansion and rebuild projects, management expects a steady decline by FY27. Working capital is beginning to normalize, with improved collection cycles set to enhance cashflows in coming quarters. In Q1FY26, the company received an interim insurance payout of INR 950mn for the prior year's fire incident, with the balance expected over the next two years.
- **Valuation & Views.** Following our IC, the stock briefly touched our earlier TP of INR 260 before retracing to current levels. We maintain our valuation multiple and assign an 18.0x multiple to our Jun'27E EPS, deriving a revised TP of INR 275. This valuation factors in incremental growth from upcoming capacity additions and the company's strong positioning in both global and domestic markets. Over FY25-28E, we project revenue/EBITDA/PAT to deliver CAGR of 12.3%/19.6%/51.3%. **Key risks:** FMCG sector slowdown, delay in capex implementation.

Target price	275
CMP*	226
Upside	22%

Price Performance (%)	1M	6M	1Yr
S H Kelkar & Co.	-2%	20%	23%
Nifty	-2%	7%	2%

Key Data	
Bloomberg Code	SHKL:IN
Curr Shares O/S (mn)	138.4
Diluted Shares O/S (mn)	138.4
Mkt Cap (INRbn/USDmn)	31.3/356
52 Wk H / L (Rs)	336/156
3M Average Vol. (thd)	458

Source: Bloomberg, NSE, Company

Shareholding pattern

Particulars	Sep-24	Dec-24	Mar-25	Jun-25
Promoters	55.6%	55.6%	55.5%	55.0%
DIIs	2.3%	3.1%	3.4%	3.4%
FIIs	9.4%	7.5%	7.2%	7.0%
Public and ESOPs	32.7%	33.7%	33.9%	34.6%

Source: BSE

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Y/E (INR in mn)	Revenue	YoY (%)	EBITDA	EBITDA (%)	PAT	PAT (%)	EPS	RoAE	RoCE	P/E (x)	EV/EBITDA (x)
FY22	15,642	18.3%	2,146	13.7%	1,486	9.5%	10.8	14.5%	9.9%	20.9x	17.8x
FY23	16,865	7.8%	2,173	12.9%	612	3.6%	4.5	5.6%	8.9%	49.9x	17.6x
FY24	18,408	9.1%	3,033	16.5%	1,227	6.7%	9.0	10.6%	14.6%	25.2x	12.6x
FY25	21,234	15.4%	2,970	14.0%	732	3.4%	5.4	5.9%	13.4%	42.1x	12.9x
FY26E	23,782	12.0%	3,496	14.7%	1,412	5.9%	10.2	10.6%	14.9%	22.1x	10.9x
FY27E	26,755	12.5%	4,281	16.0%	1,978	7.4%	14.3	13.3%	18.1%	15.8x	8.9x
FY28E	30,099	12.5%	5,087	16.9%	2,537	8.4%	18.3	15.0%	20.2%	12.3x	7.5x

Source: Company, MNCL Research estimates

Quarterly Earnings Performance

Exhibit 1: Q1FY26 Financials

Y/E March	Q1FY26	Q1FY25	Q4FY25	YoY	QoQ
Net revenue (INR mn)	5,806	4,703	5,674	23.5%	2.3%
EBITDA (INR mn)	730	783	734	-6.7%	-0.6%
Reported. Adj. PAT	235	333	264	-29.4%	-10.9%
EBITDA margin	12.6%	16.6%	12.9%		
Reported Adj. PAT margin	4.0%	7.0%	4.7%		
Segment Revenue					
Fragrances	5,119	4,287	5,104	19.4%	0.3%
Flavours	688	416	570	65.2%	20.8%

Source: Company, MNCL Research

Valuation

TP at INR 275, valued at 18x multiple on Q1FY28E

We retain our valuation multiple of 18x on Q1FY28E EPS and revise our TP to INR 275 (from INR 260). We estimate 12%/20%/51% CAGR in revenue/EBITDA/PAT over FY25-28E, with further global order wins offering re-rating potential. **Key risks** include broader FMCG sector slowdown and delays in capex execution.

Exhibit 2: Valuation based on Q1FY28E

Particulars	
Market Cap (INR mn)	31,283
Enterprise Value (INR mn)	38,738
EPS	15.3
Assigned PE	18.0x
Target Price	**275**
Upside	*21.9%*

Source: Company, MNCL Research Estimates

Appendix: S H Kelkar & Co. Financials

Exhibit 3: Consolidated Income Statement

Particulars	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
Revenue from operations	**15,642**	**16,865**	**18,408**	**21,234**	**23,782**	**26,755**	**30,099**
Growth	*18.3%*	*7.8%*	*9.1%*	*15.4%*	*12.0%*	*12.5%*	*12.5%*
COGS	7,504	9,255	10,047	10,283	11,959	13,342	14,983
Gross Profit	**6,387**	**6,818**	**8,125**	**9,275**	**10,440**	**11,772**	**13,394**
Margin	*40.8%*	*40.4%*	*44.1%*	*43.7%*	*43.9%*	*44.0%*	*44.5%*
Employee benefits expense	1,988	2,118	2,381	2,899	3,258	3,478	3,913
Other expenses	2,253	2,527	2,712	3,406	3,686	4,013	4,394
EBITDA	**2,146**	**2,173**	**3,033**	**2,970**	**3,496**	**4,281**	**5,087**
Margin	*13.7%*	*12.9%*	*16.5%*	*14.0%*	*14.7%*	*16.0%*	*16.9%*
Depreciation and amortization expense	718	805	861	947	1,100	1,121	1,178
EBIT	**1,429**	**1,369**	**2,172**	**2,023**	**2,396**	**3,160**	**3,908**
Margin	*9.1%*	*8.1%*	*11.8%*	*9.5%*	*10.1%*	*11.8%*	*13.0%*
Other income	175	118	59	239	119	134	150
Finance costs	162	239	398	494	497	468	434
Share in JV (net of tax)	0	(2)	-	(14)	-	-	-
Exceptional Gain/(loss)	(120)	(203)	-	(606)	-	-	-
PBT	**1,323**	**1,044**	**1,833**	**1,148**	**2,018**	**2,826**	**3,625**
Margin	*8.5%*	*6.2%*	*10.0%*	*5.4%*	*8.5%*	*10.6%*	*12.0%*
Tax expense	(172)	414	595	407	605	848	1,087
PAT	**1,494**	**629**	**1,238**	**741**	**1,412**	**1,978**	**2,537**
Loss from discontinued operations	-	-	-	11	-	-	-
Non-controlling interest	9	18	11	(2)	-	-	-
Net Income	**1,486**	**612**	**1,227**	**732**	**1,412**	**1,978**	**2,537**
Margin	*9.5%*	*3.6%*	*6.7%*	*3.4%*	*5.9%*	*7.4%*	*8.4%*
EPS	**10.81**	**4.53**	**8.95**	**5.37**	**10.20**	**14.29**	**18.33**

source: Company, MNCL Research Estimates

Exhibit 4: Consolidated Balance Sheet

Particulars	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
PPE	3,442	3,329	3,697	3,673	3,713	3,744	3,725
Capital work-in-progress	40	222	70	385	390	390	390
Right of use asset	612	537	490	931	885	840	782
Goodwill	2,895	3,029	3,047	3,109	3,109	3,109	3,109
Other intangible assets	2,564	2,280	2,151	1,883	1,788	1,681	1,580
Investments	144	6	6	117	117	117	117
Deferred tax assets (net)	180	202	218	251	251	251	251
Other tax assets (net)	566	412	533	504	504	504	504
Other non-current assets	206	139	182	238	238	238	238
Total Non-Current Assets	**10,648**	**10,155**	**10,394**	**11,090**	**10,995**	**10,874**	**10,696**
Inventories	5,554	6,031	6,569	7,177	7,848	8,099	9,030
Trade receivables	4,613	4,382	4,896	5,059	5,801	6,295	7,082
Cash and cash equivalents	1,192	635	1,001	865	1,900	3,247	4,179
Other bank balances	33	37	30	3	3	3	3
Other current assets	930	980	1,136	2,655	1,427	1,338	1,505
Total Current Assets	**12,323**	**12,065**	**13,631**	**15,759**	**16,979**	**18,982**	**21,799**
Total Assets	**22,971**	**22,220**	**24,025**	**26,849**	**27,974**	**29,856**	**32,495**
Equity share capital	1,384	1,384	1,384	1,384	1,384	1,384	1,384
Other equity	8,749	9,260	10,744	11,335	12,606	14,387	16,671
Equity Attributable to Owners	**10,133**	**10,644**	**12,128**	**12,720**	**13,991**	**15,771**	**18,055**
Non-controlling interests	804	383	14	5	5	5	5
Total Equity	**10,937**	**11,026**	**12,142**	**12,724**	**13,995**	**15,776**	**18,059**
Long-term Borrowings	3,630	3,189	1,731	1,747	1,572	1,415	1,273
Lease liabilities	478	394	318	631	631	631	631
Others Non-current liabilities	190	18	20	24	20	20	20
Deferred tax liabilities (net)	486	507	474	410	410	410	410
Total Non-Current Liabilities	**4,784**	**4,107**	**2,542**	**2,811**	**2,633**	**2,476**	**2,334**
Short-term Borrowings	2,689	2,471	4,439	5,702	5,282	4,821	4,519
Lease liabilities	183	146	171	243	243	243	243
Trade Payables	3,520	3,651	3,551	4,000	4,447	5,166	5,966
Financial Liabilities - Others	226	283	427	648	648	648	648
Other current liabilities	483	520	560	591	591	591	591
Current tax liabilities (net)	149	16	193	130	130	130	130
Total Current Liabilities	**7,250**	**7,087**	**9,341**	**11,313**	**11,341**	**11,600**	**12,097**
Total Liabilities	**12,034**	**11,194**	**11,883**	**14,125**	**13,974**	**14,075**	**14,431**
Total Equity & Liabilities	**22,971**	**22,220**	**24,025**	**26,849**	**27,974**	**29,856**	**32,495**

source: Company, MNCL Research Estimates

Exhibit 5: Cash Flow Statement

Particulars	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
PBT from continuing operations	1,323	1,044	1,823	1,148	2,018	2,826	3,625
CFO	502	1,967	1,075	157	3,150	3,496	2,914
CFI	(1,600)	(1,029)	(818)	(723)	(881)	(866)	(850)
CFF	126	(1,748)	82	993	(1,233)	(1,283)	(1,132)
Net Change	**(972)**	**(811)**	**339**	**428**	**1,036**	**1,347**	**932**
Beginning Cash and Cash Equivalents	1,021	307	(574)	(253)	865	1,900	3,247
FX adjustments	258	(71)	(18)	28			
Ending Cash and Cash Equivalents	**307**	**(574)**	**(253)**	**203**	**1,900**	**3,247**	**4,179**
Cash in hand	1,192	635	1,001	865	-	-	-
Bank Overdraft	(885)	(1,210)	(1,254)	(662)	-	-	-

Source: Company, MNCL Research Estimates

Exhibit 6: Key Ratios

Particulars	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
Growth %							
Revenue	18.3%	7.8%	9.1%	15.4%	12.0%	12.5%	12.5%
Gross Profit	11.7%	6.8%	19.2%	14.2%	12.6%	12.8%	13.8%
EBITDA	-9.0%	1.3%	39.5%	-2.1%	17.7%	22.4%	18.8%
PAT	2.7%	-58.8%	100.6%	-40.3%	92.8%	40.1%	28.2%
Margin %							
Gross	40.8%	40.4%	44.1%	43.7%	43.9%	44.0%	44.5%
EBITDA	13.7%	12.9%	16.5%	14.0%	14.7%	16.0%	16.9%
EBIT	9.1%	8.1%	11.8%	9.5%	10.1%	11.8%	13.0%
Net Profit	9.5%	3.6%	6.7%	3.4%	5.9%	7.4%	8.4%
Gross Block	487	476	545	641	741	841	941
Gross Block Turnover (x)	3.38	3.50	3.60	3.58	3.44	3.38	3.38
Receivable days	98	97	92	86	83	83	81
Inventory days	194	210	224	210	206	194	187
Payable days	118	130	128	115	116	117	122
Working Capital cycle	**174**	**178**	**188**	**180**	**173**	**160**	**147**
Debt/Equity	0.64x	0.56x	0.55x	0.65x	0.55x	0.45x	0.37x
Net debt/EBITDA (x)	2.68x	2.54x	1.86x	2.51x	1.67x	0.90x	0.49x
Net debt/ Equity (x)	0.53x	0.50x	0.46x	0.59x	0.42x	0.24x	0.14x
ROCE	**9.9%**	**8.9%**	**14.6%**	**13.4%**	**14.9%**	**18.1%**	**20.2%**
Profit-to-sales	*9.5%*	*3.6%*	*6.7%*	*3.4%*	*5.9%*	*7.4%*	*8.4%*
Sales-to-assets	*74.6%*	*74.6%*	*79.6%*	*83.5%*	*86.8%*	*92.5%*	*96.5%*
Assets-to-equity	*204.8%*	*205.8%*	*199.6%*	*204.6%*	*205.2%*	*194.2%*	*184.3%*
RoE	**14.5%**	**5.6%**	**10.6%**	**5.9%**	**10.6%**	**13.3%**	**15.0%**

Source: Company, MNCL Research Estimates

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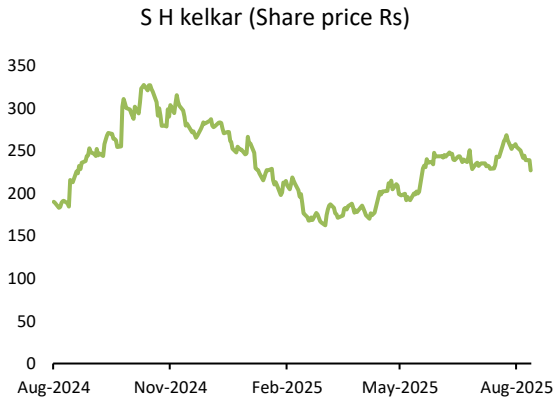

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Buy: Upside by >15%, Accumulate: Upside by 5% to 15%, Hold: Downside/Upside by -5% to +5%, Reduce: Downside by 5% to 15%, Sell: Downside by >15%

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